Monetary Unions & Monetary Crises

International Finance

- In the past two weeks, we have had an introduction to international finance
- Remember, in the first 3 lectures, we discussed the movement of goods and services across borders, including production of goods
- In the second 3 lectures, we are discussing the movement of capital across borders
- We have learned a number of things about international capital flows
- We have learned that the current account (goods and services) tends to move in an opposite direction to the capital account (capital that pays for imports, or flows outward due to excess exports)
- Another point is that as capital changes borders, it often has to change currencies

International Finance

- This in turn has a major effect on the value of a currency
- Normal people can go their whole lives without realizing that their currency is strong or weak
- (The only difference will be the amount of imported goods for offer on store shelves, and their prices..
- Or else the cost of energy, which they will not realize has a currency component)
- In short, the more international capital demands to jump into your currency, the more demand for your currency, and the higher its price
- And the supply must be regulated wisely to avoid price fluctuations

International Finance

- For international businesses and investors however—for the big players—currency prices matter a lot
- For investors, fortunes can be made or lost on currency investment (an opportunity)
- However, for providers of goods and services, they can be a real headache
- It is for this reason that when the Bretton Woods system collapsed in 1971, European governments began seriously to think about a monetary union
- At the very least, they wanted to “peg” their currencies together, to minimize fluctuations
- But this is difficult, because governments have different policies, which might make their currency strong or weak
- And, if governments do not manage their currency well, then they might end up with a currency crisis

Policies affecting currency

- Governments that spend a lot of money tend to have weak currencies
- Historic examples of this are France, Italy, and sometimes the UK
- This is because when governments spend a lot, they borrow a lot – because government spending is deficit financing (at least in the short term; this is eventually supposed to be paid for by collecting taxes)
- When governments borrow a lot, this means that they tend to “print money” to pay for their debts – i.e they expand the amount of money in the system, which causes inflation, and generally decreases its value and attractiveness to investors.
- Conversely, “strong currency regimes” such as Germany and NL, historically borrowed and spent less, and therefore they could keep inflation in check, meaning their currency was more valuable
- So when strong and weak currency countries attempt a union, this can cause problems, and to this day, Germany and France are locked in a bit of a struggle for control at the European Central Bank

Currency Crises

- In an international system where capital moves freely, then countries become dependent on the goodwill of the markets
- Governments must always be careful not to provoke markets into being scared by their actions
- This tends to keep most governments on the “straight and narrow”
- During the mid c20th, many socialist governments tried to get around the markets, arguing that because markets were controlled by “capitalists” that it would be better for their people if e.g. they manipulated their currency, or confiscated capital, or tied wages to inflation, etc.
- Unfortunately, in almost every case, governments found that their peoples’ living standards would have increased at a faster rate, if they had simply legislated gradual improvements and wooed investors, rather than doing anything radical
- Singapore is once again a poster child for this (except laws are overly strict)

Monetary Crises in a ‘Normal’ Currency Regime

- Most currencies today are dependent on the market, meaning that countries have control over monetary policy
- What happens if you are a smaller currency and things don’t go smoothly?
- What happens if there is a systemic crisis, and/or if a government does not manage its fundamenals well enough?
- Often, this government will face a backlash in the form of a currency crisis
- It is relatively common for smaller currencies to have a currency crisis
- Waves of crises tend to happen at least once every 20 years
- We look at these crises in Chapter 20

Currency Crises

An **Economic Crisis** is a time when there is a slowdown in the economy, and/or a sudden devaluation of assets – i.e. a lot of people lose a lot of value. Often this is when GDP growth slows down to zero (recession) or below zero (depression). This is characterized by high unemployment, and often other types of crisis as well.

A **Financial Crisis** is a type of economic crisis in which certain financial assets lose a good deal of their value, and/or the financial system (banks) run into sudden problems with debts and/or liquidity

A **Currency Crisis** is where the currency suddenly devalues. This is a subspecies of economic crisis and financial crisis; it often starts because of a chronic Balance of Payments problem. But it can be triggered by other problems with fundamentals, and/or investors suddenly leaving a currency.

A list of more recent currency crises:

Mexico 1994-95

Thailand, Indonesia, Philippines, Malaysia, South Korea, 1997

Russia 1998

Brazil 1999

Argentina 2001

US and UK 2007-2009

Turkey 2018

Types of Economic Crisis

Crisis type	Characteristics	Examples
Hyperinflation	A rapid increase in the overall price level of a country, typically defined to be 40 percent or higher on an annual basis.	Zimbabwe, 1998–2009 Venezuela, 2016–
Balance of payments and currency crises	A large devaluation or rapid depreciation in the value of a domestic currency in response to balance of payments difficulties.	Mexico, 1994–1995 Brazil, 1999
Asset price deflation	A sustained and large decline in the prices of financial assets.	Japan, 1990 United States, 2007–2009
Banking crises	The occurrence of bank runs and/or the merger, closure, or government takeover of banking institutions.	Argentina, 2001 Cyprus, 2012–2013
External debt crises	Sovereign default on debt obligations to *foreign* creditors or substantial restructuring of this debt.	Mexico, 1982 Greece, 2010–2015
Domestic debt crises	Sovereign default on debt obligations to *domestic* creditors or substantial restructuring of this debt.	Argentina, 1989

Currency Crises

- Types of Currency Crisis (and related crises)
- Hyperinflation
  - Rapid increase in price level of a country
- Balance of Payments Crisis
  - When currency depreciates because investors flee, realizing that exports won’t cover desired imports
- Asset price deflation
  - Aka stock market crash – financial assets suddenly lower in value
  - Usually leads to credit crunch
  - Will put downward pressure on currency as foreign capital leaves

Currency Crises

- Banking crisis
  - The banking system is hit by panic, and people demand funds
  - This can lead to credit crunch
  - And decrease in value of currency as foreign investors leave
- External debt crisis
  - Sovereign default (central bank discounts repayment of interest or face value of bonds)
- Domestic debt crisis
  - Central bank or central government (treasury) refuses to pay banks back debt, or restructures it
  - Both external and domestic debt crises put downward pressure on currency

Anatomy of a Currency Crisis

- Currency crises can spread regionally or globally via **contagion**
- One of the most famous is the Asian currency crisis that occurred in the late 1990s
- Three contributing factors to contagion are:
  - Sudden reversals of capital inflows
  - Surprise announcements to financial markets
  - Highly leveraged financial institutions
    - This means, they have a high level of debt relative to assets
- If the global financial system becomes contaminated, this is called **systemic risk**

Models of Currency Crisis

- Normally, authors analyze currency crises in terms of ‘generations’ of theory
- At first, theorists thought that currency crises were straightforward; but models are getting more complicated
- **First Generation**: A Speculative Attack leads investors to leave the currency
- **Second generation**: Investors believe that the government will not keep its resolve (i.e., George Soros and the GBP in 1994)
- **Third Generation**: Argues that banking sectors interact with currency crises; and of course this makes sense

Models of Currency Crisis

- Your book distinguishes two types of currency crisis, using somewhat clunky terminology. But this is still useful
- It argues for two types of Currency Crisis: **Old Fashioned** and '**High Tech**'
- Old Fashioned another term for a Balance of Payments Crisis
- This is typified by what happened to Mexico in the 1990s
- Mexico gained large amounts of foreign capital because of NAFTA, which inflated the value of its currency and led the government to issue a lot of debt
- When investors got scared, they withdrew currency
- So it was a speculative attack, but arguably precipitated by the fact that Mexico could not pay for all the imports it started buying with inflows of foreign currency

Models of Currency Crisis

- In our model, your text argues that Mexico has been able to implement a successful equilibrium exchange rate, where its rate is stable, because returns in Mexico and the US are equal to the expected rate of depreciation on the peso.
- In the mid 1990s, Mexico had a current account deficit
- This was financed by a capital account surplus
- I.e., an inflow of foreign capital
- Mexican government set the peso high, to help it pay for imports more easily
- But investors realized that foreign capital was there buying short-term portfolio assets, and might be ready to leave
- But large trade deficits are structural, and long term…

Mexican Currency Crisis

- Mexico sold a lot of debt denominated in USD
- This also made matters worse, because demand for pesos was less
- And, because a fall in the value of the peso, meant that the Mexican government had to pay more to buy back the USD bonds
- If you are a Mexican investor, you think the Mexican government will have to devalue the peso to increase exports and suppress the trade deficit
- So you think that ee > e0
- If right now R(eturn)m(exico) = R(eturn) u(nited) s(tates)
- Therefore you think that Rm < Rus + (ee-e0)/e0

Mexican Currency Crisis

- Remember, this is the **interest rate parity** condition
- So as a Mexican investor, you want to invest in US-denominated assets, b/c you think that the peso is going to devalue
- This is called **capital flight**
- And the value of the peso falls
- The Mexican government officially devalued the peso 15%
- Again, it was on a pegged system
- This devaluation was not enough however, and now fueled speculation of further devaluations

Mexican Currency Crisis

- Mexico is forced to let the peso float
- Investors fled, and the peso went into a deep fall

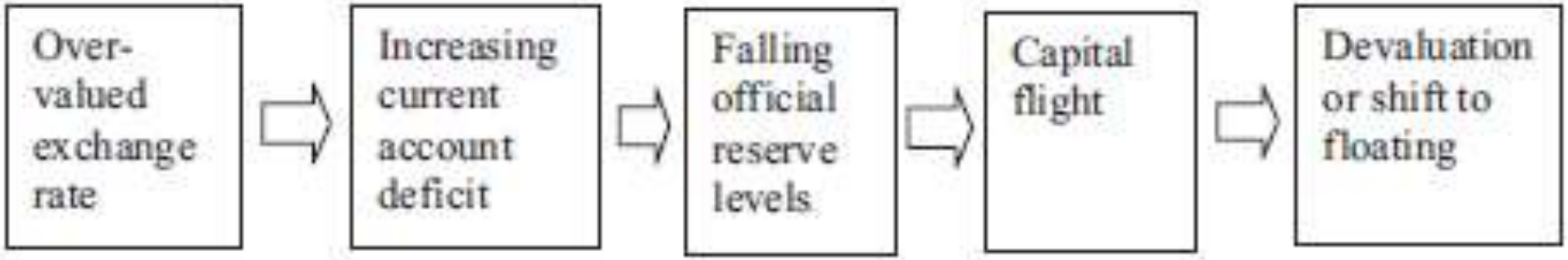


Figure 18.4. Balance of Payments and Currency Crises Revisited

Mexican Currency Crisis

- On the following graph we see:
- Initial high trade deficit leads to influx of foreign capital
- Mexican government fixes the peso at a high value
- Investors are ok with this initially
- But as expectations of depreciating peso increase, Mexican and other investors leave the country
- Then, foreign savings shifts to left = demand for pesos shifts left
- As a result 1/e decreases (value of the peso falls)

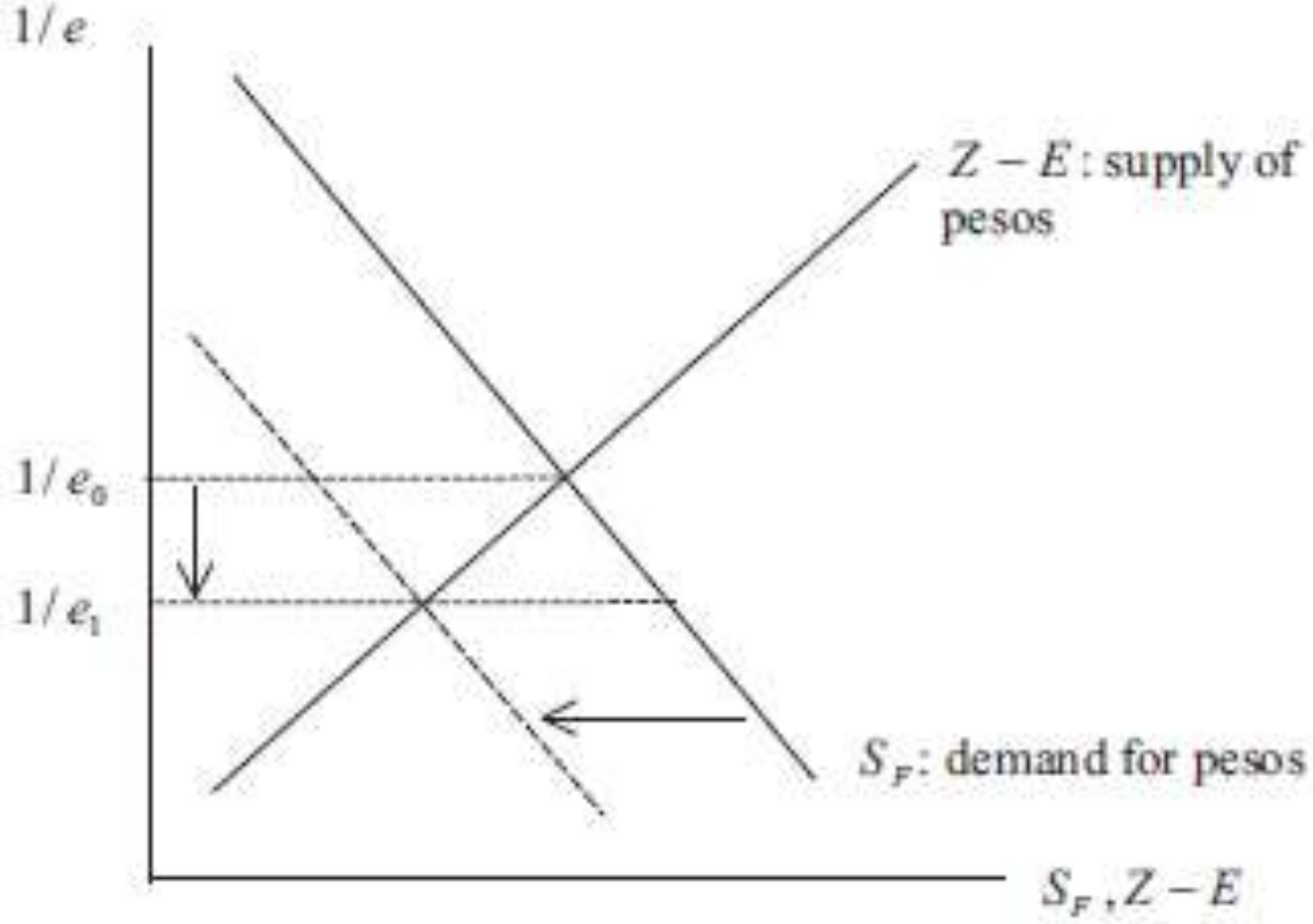


Figure 18.3. A Balance of Payments and Currency Crisis

Asian Currency Crisis

- This has elements of the ‘’Old Fashioned’’ Mexican crisis
- It is still a balance of payments crisis
- But it is sparked by too-quick liberalization (sort of like Mexico, arguably)
- In Asia, countries deregulated their financial systems
- This caused banking sectors to be relatively weak
- At the same time, there was an increasing current account deficit
- And, a liberalization of the capital account, allowing more foreign capital in

Asian Currency Crisis

- So a combination of the current account deficit, the increasing foreign capital inflows, and a weakened (liberalized) banking sector, leads to loss of confidence in the financial sectors of these countries
- This leads people to fear for the currency, and/or for the economy as a whole
- This leads to capital flight
- Which increases BOP problems, since imports cannot be paid for
- And also leads to a currency crisis
- Eventually, weak currency should help solve BOP crisis

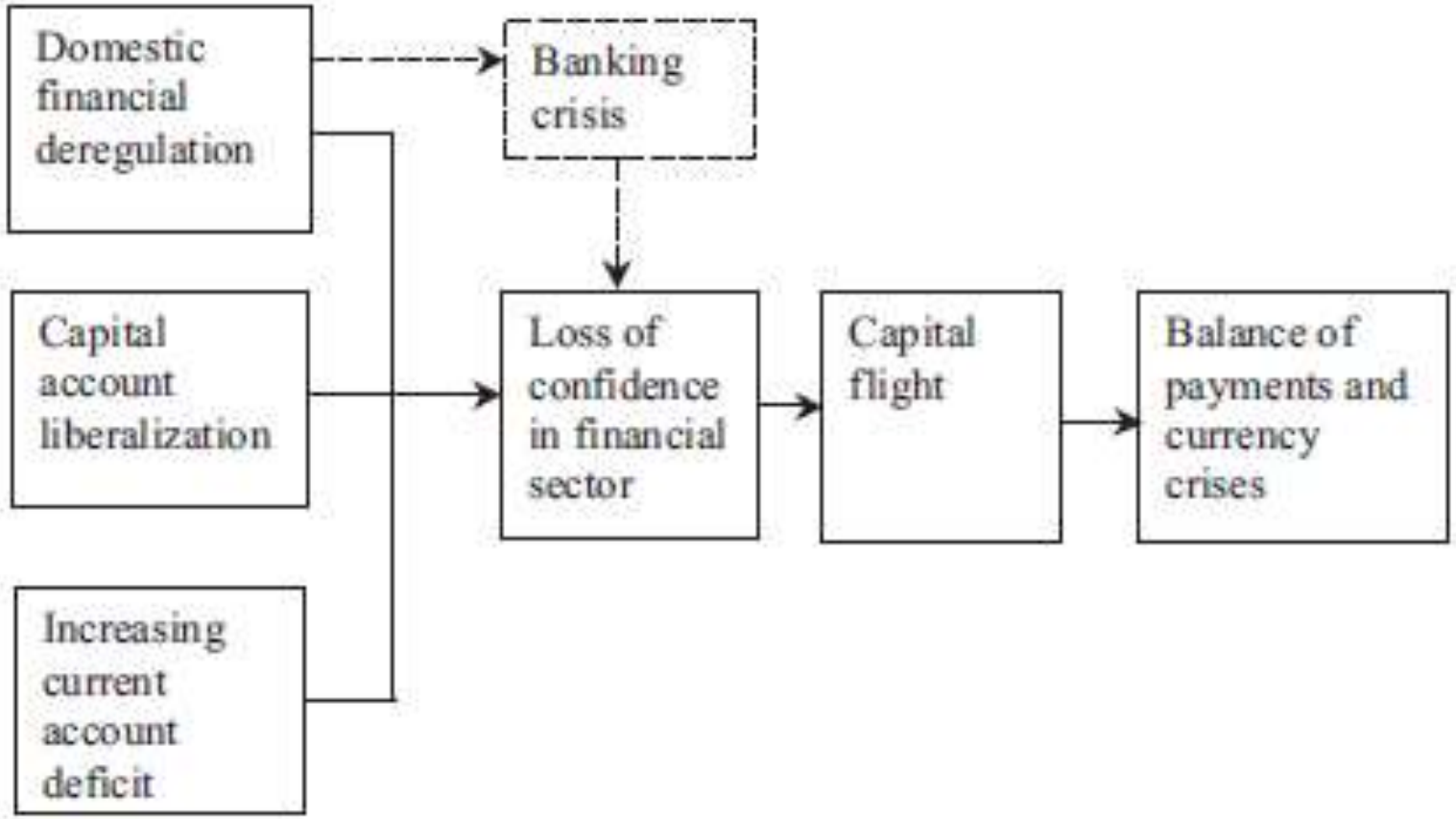
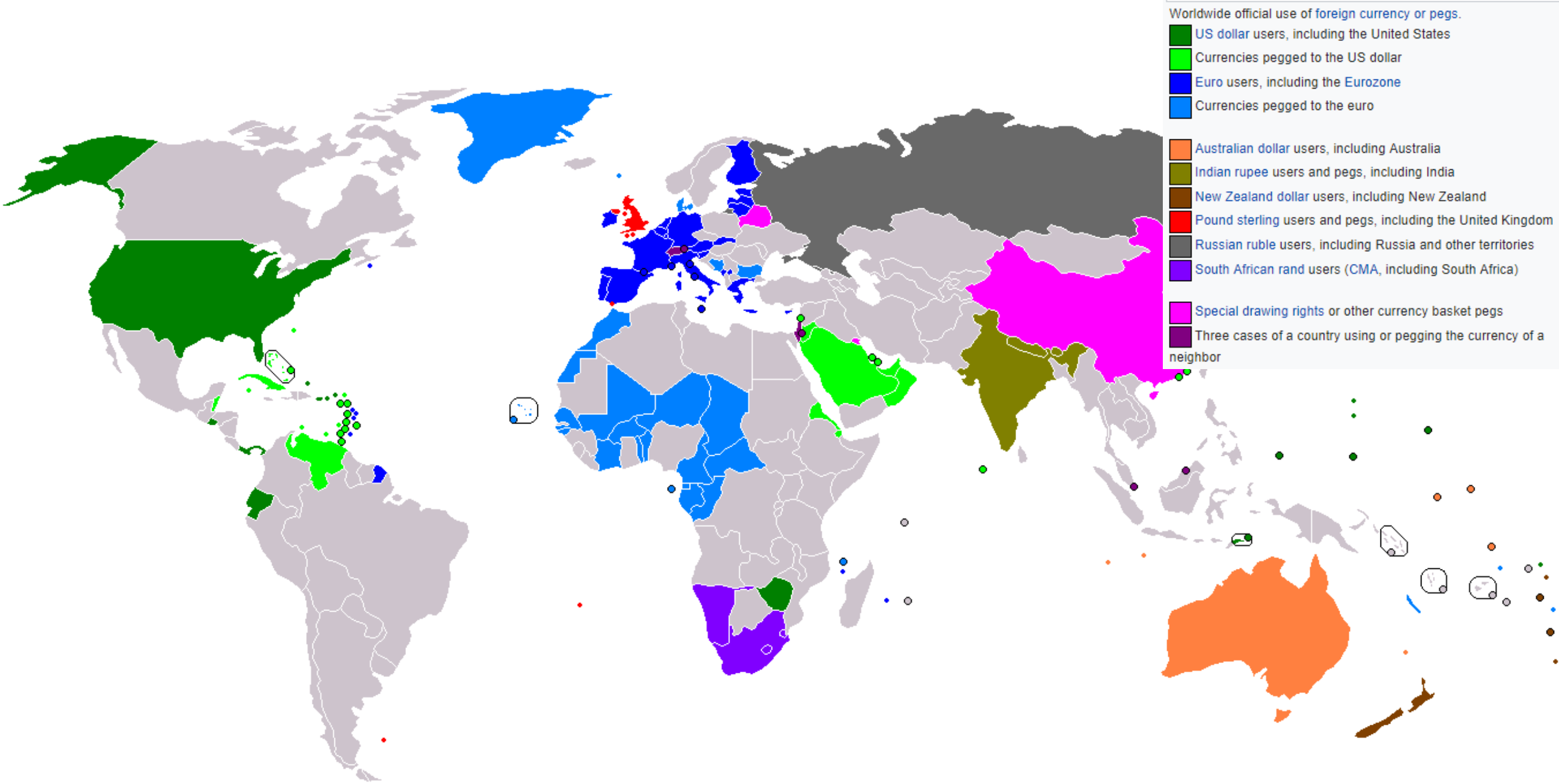


Figure 18.5. A "High-Tech" Balance of Payments Crisis. *Note:* The dashes around the banking crisis box suggest that this element might or might not be present in a particular instance.

Monetary Unions

- As noted, most of the time, countries try and keep their currencies trading within certain bands. This is a de facto peg. Or soft peg.
- We now consider a special case of **currency regime**:
- This is the **monetary union**
- The major one in the world currently is the European Euro Area
- There is also a Francophone West African Zone pegged to the Euro, and a Southern African Rand Zone
- We saw last week that some countries have adopted the USD as a currency, or are pegged to it (**currency substitution**)
- It is different to adopt a foreign currency, because you have no say in monetary policy at all
- Through the 1950s and 60s, dozens of countries were pegged to the pound sterling – a phenomenon known as the 'Sterling Area'


Worldwide official use of foreign currency or pegs.
US dollar users, including the United States
Currencies pegged to the US dollar
Euro users, including the Eurozone
Currencies pegged to the euro
Australian dollar users, including Australia
Indian rupee users and pegs, including India
New Zealand dollar users, including New Zealand
Pound sterling users and pegs, including the United Kingdom
Russian ruble users, including Russia and other territories
South African rand users (CMA, including South Africa)
Special drawing rights or other currency basket pegs
Three cases of a country using or pegging the currency of a neighbor

African Currency Union

- Communaute Financiere Africaine
- 14 member countries in W. Africa;
- Existed since 1945, when the Franc had to be devalued
- Originally pegged to the Franc, but could be exempted from Franc devaluation
- Similar to the British Currency Area which used to exist for the Commonwealth
- The CFA became a Euro peg in 1999
- But the problem is that the ECB is hawkish (fighting inflation, rather than unemployment)
- This is not good for developing nations, because strong currencies are bad for exports.
- In 2020, they created a new currency, the “Eco”
- And this is maintained by the Central Bank of West African States
- Still pegged to the Euro, but in the future perhaps not
- But a very important and far reaching step in African economic autonomy nonetheless

European Monetary Union

- How did the EMU come about?
- It started as a PTA (Preferential Trade Agreement) area
- In other words, neighboring countries in W Europe attempted to reduce barriers to trade
- This was also seen as a way to compete with US global dominance in trade
- In the 1980s and 90s, it was the dream of postwar European leaders, and also of Neoliberals, to have an economic union
- For political, and economic reasons (often quite separate)

European Monetary Union

- In order for the European economy to integrate in the aftermath of Bretton Woods (1971), currency controls were needed
- The Sterling Area provided a good map for how this could work
- And indeed, Bretton Woods, with currencies all tied to the dollar via gold, also provided a very logical blueprint
- So the European Monetary Union was hardly radical
- What are the advantages and disadvantages of coming under a single currency?

European Monetary Union

- Advantages: you do away with exchange fluctuations altogether. This is arguably a big advantage
- It means that the transaction costs of crossing borders are lessened
- The risk factor for international business is also lessened
- And, nationalist, obstructionist trade policies become more difficult
- Also, your common currency will be strong, because there will be a large total value of the currency
- And, your central bank can bail you out if you have difficulties
- A sort of intermediate IMF (As the ECB started doing after 2012)

European Monetary Union

- Disadvantages?
- You lose freedom of monetary policy
- Remember, **monetary policy** and **fiscal policy** are the two main tools that countries have to steer their economies
- Economists consider them to be “levers” or “rudders” for steering a ship
- They can either stimulate growth (lessen unemployment, increase inflation)
- Or, decelerate growth (lessen inflation, increase unemployment)
- Economies must always be steered between these two extremes

European Monetary Union

- What are fiscal and monetary policy again?
- Refresher:
- Fiscal policy is when governments tax and spend
- They can strategically collect taxes from certain groups
- And “redirect” spending (G), to help stimulate desired industries, or types of Consumer spending
- This is what the Covid benefit packages in the US are attempting to do
- It is a key component of Keynesian policy

European Monetary Union

- Monetary policy?
- This takes advantage of the fact that only the central bank (run by the government) can print money
- The central bank can therefore manipulate interest rates
- This is the price of money, for the whole banking system
- Low interest rates means more credit and more spending – usually meaning less unemployment, and more inflation
- High interest rates means the opposite
- Taken together, both of these policy tools (fiscal and monetary policy) have proven extremely powerful for guiding national economies in the years since they were discovered, during the Great Depression

European Monetary Union

- Other uses of fiscal and monetary policy include:
- Attracting foreign capital
- Stimulating exports
- Correcting Balance of Payments Issues
  - Including, correcting current and capital account problems
- Making your economy more competitive
- Stimulating certain industries
- Increasing or decreasing austerity
- Balancing the budget

European Monetary Union

- So you can see, that the tools of fiscal and monetary policy are extremely important for guiding the macroeconomy
- So imagine now that you join a Monetary Union
- You still can control fiscal policy – you can still tax your own people and spend for them
- E.g. in NL, the Dutch belastingdienst still controls tax levels, and the kabinet directs spending priorities
- But now imagine that you lose the ability to direct monetary policy
- The Dutch government still has a central bank of the Netherlands (DNB), but, they cannot control interest rates, or inflation rates
- This is done by the ECB in Frankfurt

European Monetary Union

- Disadvantages of being in a Monetary Union?
- You lose monetary policy freedom
- The central bank determines interest rates, and the exchange rate
- This means, that you have little control over whether your imports or exports are viable
- So, it’s difficult to redress BOP problems
- You cannot set preferential interest rates to attract capital
- You have limits on the amount of government debt you can sell, so this hampers fiscal policy as well
- Remember the Impossible Trinity? It also applies when you join a monetary union:

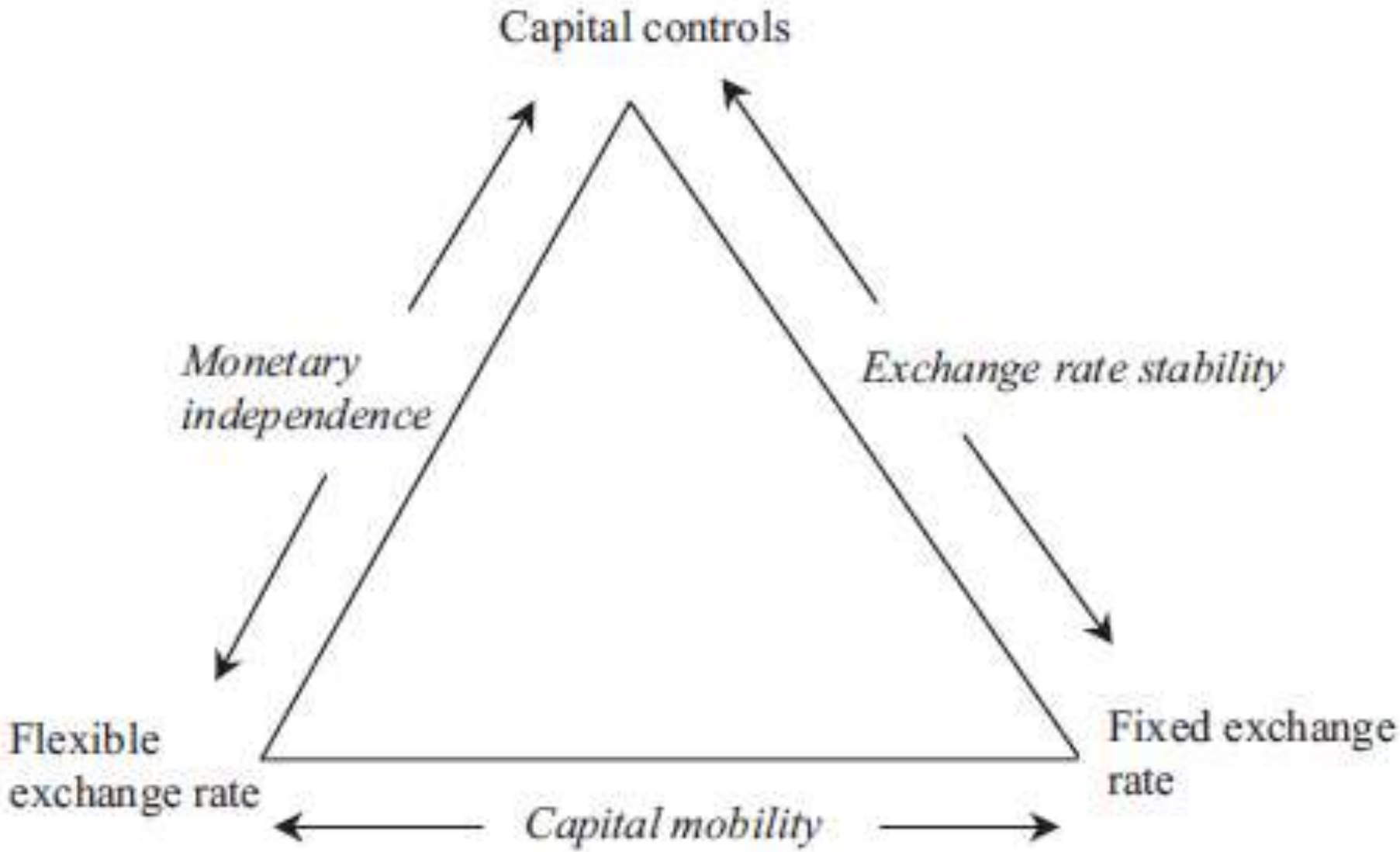


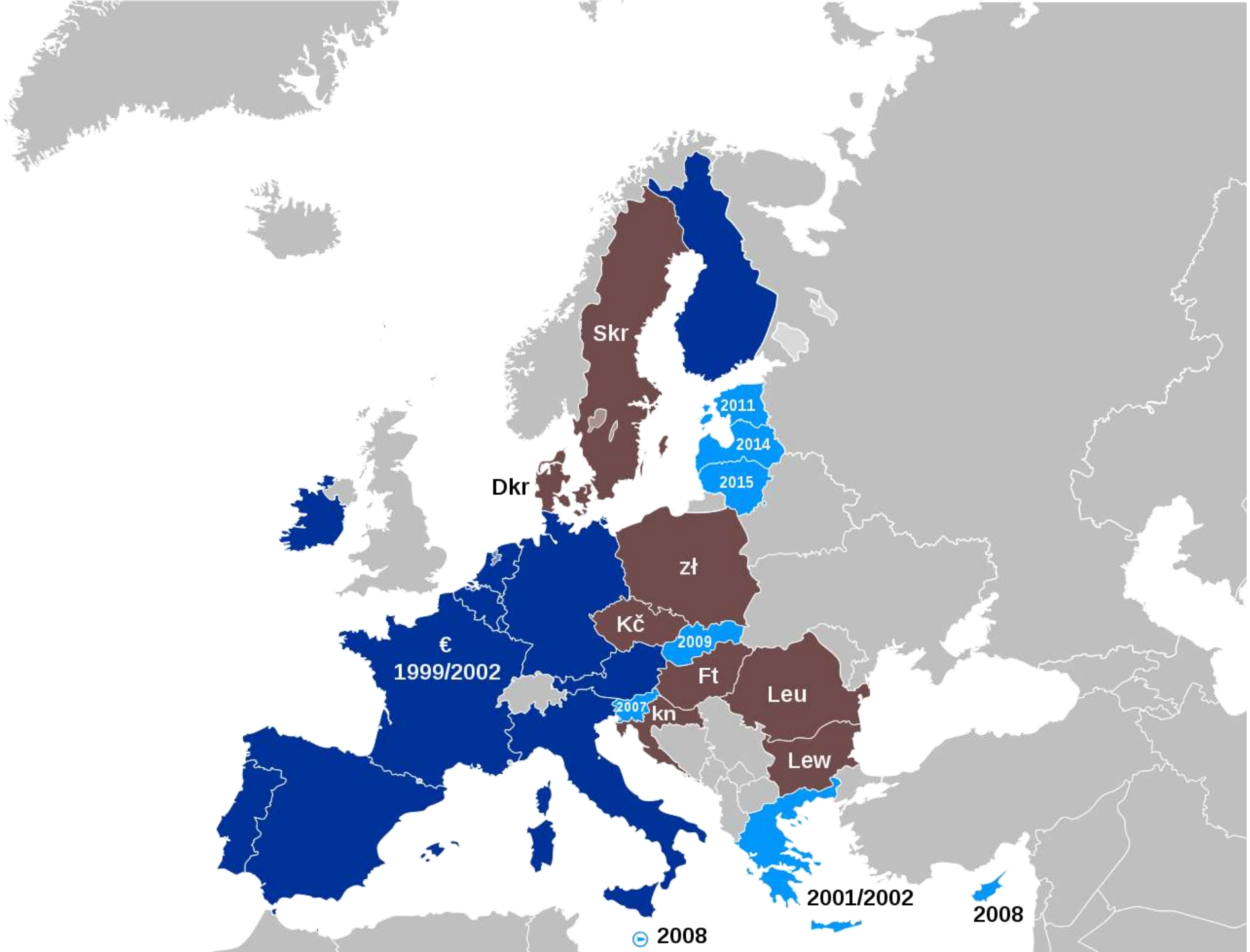
Figure 16.3. The Impossible Trinity

Country	Year joined	Original currency	Central government debt as percentage of GDP, year of entry	Central government debt as percentage of GDP, most recent year available
Original members				
Austria	1999	Austrian schilling	71	95 (2017)
Belgium	1999	Belgian franc	127	120 (2018)
Finland	1999	Finnish markka	53	69 (2018)
France	1999	French franc	74	124 (2017)
Germany	1999	Deutsche mark	61	72 (2017)
Ireland	1999	Irish pound	51	77 (2017)
Italy	1999	Italian lira	124	152 (2017)
Luxembourg	1999	Luxembourg franc	18	31 (2017)
Netherlands	1999	Dutch guilder	67	70 (2017)
Portugal	1999	Portuguese escudo	61	141 (2018)
Spain	1999	Spanish peseta	68	114 (2018)
Subsequent members				
Greece	2001	Greek drachma	126	189 (2017)
Slovenia	2007	Slovene tolar	30	89 (2017)
Cyprus	2008	Cyprus pound	162	103 (2018)
Malta	2008	Maltese lira	73	46 (2018)
Slovakia	2009	Slovak koruna	43	58 (2017)
Estonia	2011	Estonian kroon	10	13 (2017)
Latvia	2014	Latvian lat	46	47 (2017)
Lithuania	2015	Lithuanian litas	76	48 (2017)

In But Out: EU Members not in the EMU

Country	Currency	Exchange rate regime	Status as of 2019
Bulgaria	Bulgarian lev	Pegged to euro in a currency board arrangement	Seeking to join and meet convergence criteria. In process of joining the EU banking union. Not yet a member of the Exchange Rate Mechanism (ERM II).
Czech Republic	Czech koruna	Stabilized arrangement	Not yet a member of the Exchange Rate Mechanism (ERM II).
Denmark	Danish krone	Pegged to euro	Formal opt-out. Two referendums against joining. A member of the Exchange Rate Mechanism (ERM II).
Hungary	Hungarian forint	Floating	Not yet a member of the Exchange Rate Mechanism (ERM II).

Country	Currency	Exchange rate regime	Status as of 2019
Poland	Polish złoty	Floating	Not yet a member of the Exchange Rate Mechanism (ERM II).
Romania	Romanian leu	Floating	Not yet a member of the Exchange Rate Mechanism (ERM II).
Sweden	Swedish krona	Floating	Referendum against joining. Not yet a member of the Exchange Rate Mechanism (ERM II).
United Kingdom	British pound	Floating	Formal opt-out. In the process of leaving the European Union. Not yet a member of the Exchange Rate Mechanism (ERM II).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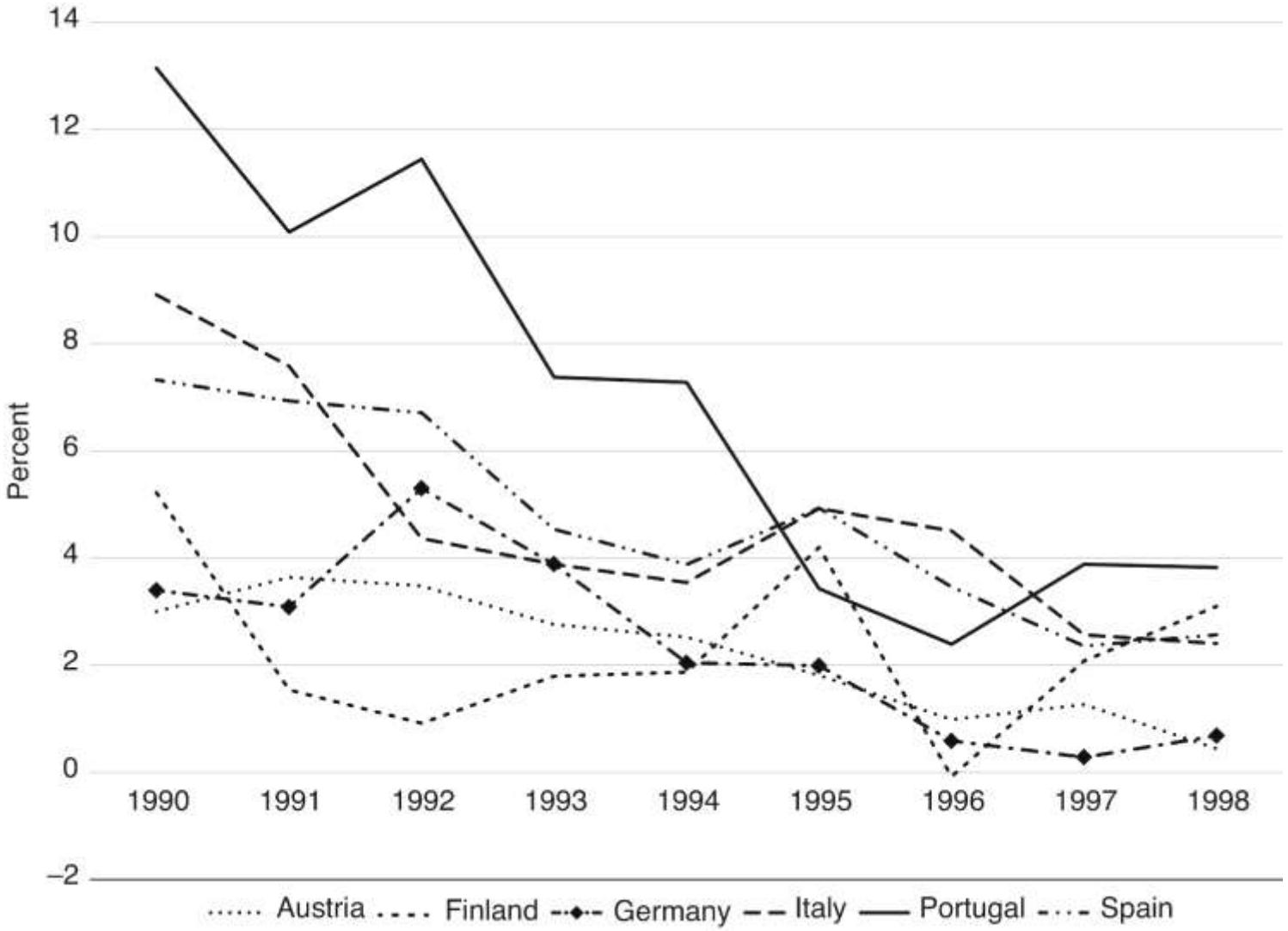
2008

Joining the EUR

- Countries which joined the Euro had to become fiscally responsible
- They had to keep down inflation
- They had to keep their currencies within a narrow band
- They had to keep debt levels to a certain level of GDP (60%)
- Budget deficits had to be kept in check each year
- Partly for these reasons, many countries have opted not to join the EUR (i.e. Euro, EMU)

Inflation Rates Selected European Countries



European Monetary Union

- They also did it for reasons of national pride;
- Voters felt that it was against national interest, etc.
- The British were actually planning on joining the EUR in the early 1990s
- But, they had to maintain the pound in a certain band
- And they failed; Warren Buffet famously bet against the pound; reasoning that the UK government would not defend it against a strong speculative attack, and the pound crashed out
- UK lost its zeal for joining after that

Optimum Currency Area

- An **optimum currency area** is characterized by the following criteria:
- Well-integrated factor markets
- Well-integrated fiscal systems
- Economic disturbances that affect each country/region in a symmetrical manner

- People argue that the US is an optimum currency area; labour and capital are mobile, and there is integration in fiscal systems; and cycles of recession and recovery tend to affect the regions of the US in a somewhat symmetrical manner

Optimum Currency Area

- So the question becomes: is the Eurozone anything like an optimum currency area?
- In other words, is it wise to have a common currency in this zone?
- There is less evidence that the Eurozone constitutes an optimum currency area
- Again, the EMU, European Monetary Union, is only a subcomponent of the EU, which is a Common Market
- Labour and physical capital are less mobile amongst countries of the EMU than in the US

Optimum Currency Area

- The budget of the EU is relatively small in comparison with the size of the economies involved
- Thus, a lack of fiscal integration in the EU economy, though rules have been strengthened since 2012
- Business cycles in the EU are somewhat asymmetrical, with the potential of one country to experience an expansion while others are experiencing a recession
- Is there ‘’room for worry’’ about how economic adjustment will occur within it?
- Remember, this book is written in 2010, right before the Euro crisis, so yeah there was room to worry:

Crises in a Monetary Union

- For example, what happens if you have high unemployment in a monetary union?
- You can address unemployment in one of our ways:

1) Decline in wages, leading to increase in quantity demanded of labour
2) Labour mobility out of area of unemployment
3) Expansionary monetary policy (at the EU level)
4) Expansionary fiscal policies (at the member country level)

- Be sure you understand each of these!

Crises in a Monetary Union

- In fact, by 2010, it was apparent that Ireland and Greece had sold too much sovereign debt
- As investors got spooked, their bond yields increased, and they could not borrow cheaply to finance their deficits
- (Normally in a crisis, bond yields decline, as investors flee equities for bonds, but, if national solvency is in doubt, then bond yields for that country's bonds increase)
- If you have monetary freedom, balances would be redressed by falling currency values, which would help exports (and potentially attract capital); they could also raise interest rates, and also rachet up exports to raise money
- But they were stuck inside the EU… what to do?

The Euro Currency Crisis

- Greece's sovereign debt, due to high spending and mismanagment, becomes highly toxic by 2010
- (This is an external debt crisis as listed on the Crisis Table in this lecture)
- Other countries have individual problems:
  - Ireland: government backing banks which imprudently finance a housing bubble (A Banking crisis)
  - Spain: housing bubble
  - Italy: bond market run
  - Portugal: Mismanagement
  - Cyprus & Iceland also dramatically affected (Banking crises)
- All of these are precipitated by the financial instability begun in the US in 2007-08

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WILLIAM J GERWICK
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EMELITA NICAMOR HAGGARD
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Fiscal Service Announces New Savings Bonds Rates, Series I to Earn 2.83%, Series EE to Earn 0.10%

FOR RELEASE AT 10:00 AM

November 1, 2018

Effective today, Series EE savings bonds issued November 2018 through April 2019 will earn an annual fixed rate of 0.10% and Series I savings bonds will earn a composite rate of 2.83%, a portion of which is indexed to inflation every six months. The EE bond fixed rate applies to a bond's 20-year original maturity. Bonds of both series have an interest-bearing life of 30 years.

Rates for savings bonds are set each May 1 and November 1. Interest accrues monthly and compounds semiannually. Bonds held less than five years are subject to a three-month interest penalty.

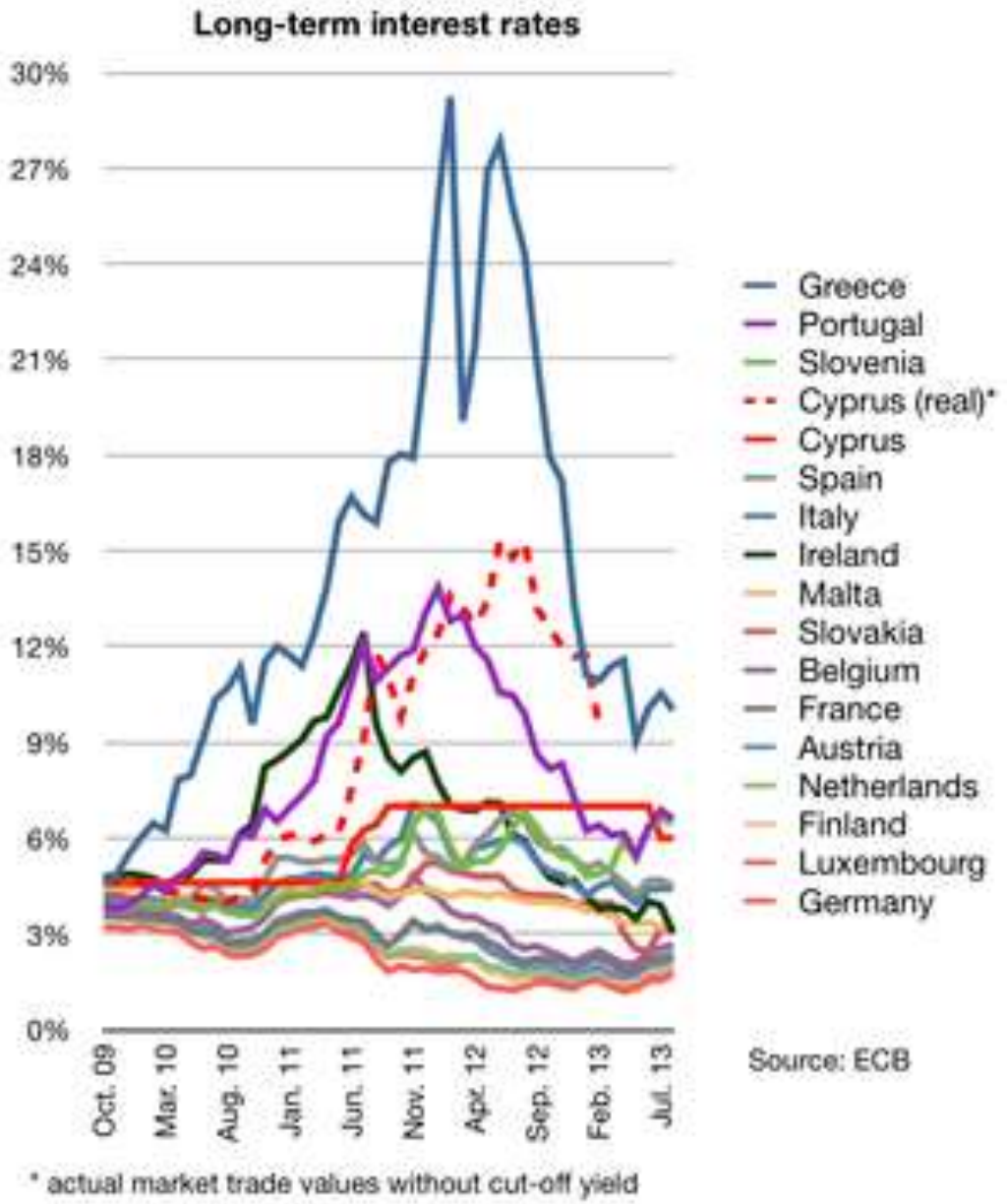
I Bond Composite Rate of 2.83% includes a Fixed Rate of 0.50%
The composite rate for Series I Savings Bonds is a combination of a fixed rate, which applies for the 30-year life of the bond, and the semiannual inflation rate. The 2.83% composite rate for I bonds bought from November 2018 through April 2019 applies for the first six months after the issue date. The composite rate combines a 0.50% fixed rate of return with the 2.32% annualized rate of inflation as measured by the Consumer Price Index for all Urban Consumers (CPI-U). The CPI-U increased from 249.554 in March 2018 to 252.439 in September 2018, a six-month change of 1.16%.

Series EE Bonds Issued May 2005 and Later
Series EE bonds issued from November 2018 through April 2019 earn today's announced rate of 0.10%. All Series EE bonds issued since May 2005 earn a fixed rate in the first 20 years after issue. At 20 years, the bonds will be worth at least two times their purchase price. The bonds will continue to earn interest at their original fixed rate for an additional 10 years unless new terms and conditions are announced before the final 10-year period begins.

Series EE Bonds Issued from May 1997 through April 2005
Series EE bonds issued from May 1997 through April 2005 continue to earn market-based interest rates set at 90% of the average 5-year Treasury securities yields for the preceding six months. The new interest rate for these bonds, effective as the bonds enter semiannual interest periods from November 2018 through April 2019 is 2.56%. Market-based rates are updated each May 1 and November 1.

History of US 10 Year Interest Rate
18.00%
16.00%
14.00%
12.00%
10.00%
8.00%
6.00%
4.00%
2.00%
0.00%
Dec 1, 1877
Jan 1, 1885
Feb 1, 1892
Mar 1, 1899
Apr 1, 1906
May 1, 1913
Jun 1, 1920
Jul 1, 1927
Aug 1, 1934
Sep 1, 1941
Oct 1, 1948
Nov 1, 1955
Dec 1, 1962
Jan 1, 1970
Feb 1, 1977
Mar 1, 1984
Apr 1, 1991
May 1, 1998
Jun 1, 2005
Jun 29, 2012

Euro Currency Crisis



Crises in a Monetary Union

- The Greek external debt crisis became a crisis for the entire EMU
- The main danger was a possible breakup of the currency, which was not planned for ahead of 2011
- The real question by 2011 was, will someone leave the Euro, because they want to pursue their own monetary policy?
- Incentives to leave the Euro:
  - Primarily: This will make exports competitive (in a cheaper currency), and cause economic growth, and lower costs of living
- Why is this a problem?
  - Breakup of Euro, especially in 2011-13 would cause drastic loss of confidence, and wipe out assets in European and global economies

The Economist on the Euro Currency Crisis (11/11):

- The technical challenges are not great. What is vastly under-estimated by advocates of euro exit is the financial and social chaos that would ensue both in the departed country and in the rest of the world. A euro break-up would not, as some seem to believe, be a slightly messier version of the ERM crisis of 1992-93. It would be a gigantic financial shockwave. Once departure by Italy were a serious prospect, there would be runs on its banks as depositors scrambled to move savings to Germany, Luxembourg or Britain, in order to avoid a forced conversion into the new weaker currency. The anticipated write-down of private and public debts, much of which is held outside Italy, would threaten bankruptcy of Europe's integrated banking system.
- There would be runs on other countries that might even consider leaving. A taboo would be broken. Credit would collapse. There would be a dash for cash (those €500 euro notes would come in handy). Businesses short of it would go under. Capital controls and restrictions on travel would be needed to contain the chaos. Once the recriminations start, the survival of the European Union and its single market would be under question. It's all a frightening prospect. But that doesn't mean it won't happen.

Crises in a Monetary Union

- To save the Euro, would Germany lead bailouts, i.e., pay for the debt and mismanagement of the ‘southern’ Economies?
- Instead, Germany and central European institutions push ‘Austerity’ i.e., spending cuts and tax increases, which are designed to reign in deficit spending to Maastricht levels
- The response is thus: anti-Keynesianism, which some criticise

Crises in a Monetary Union

- Throughout 2012, investors thought it about 1/3 likely that someone would leave the Eurozone; they almost all thought this would be disastrous
- IMF: helps to ease balance-of-payments problems, supervise bailouts (Iceland, Ireland)
- ESM (European Stability Mechanism): like an IMF for Europe (from Sept 2012)
- ECB (European Central Bank): buys some bonds, to keep the market from collapsing

Crises in a Monetary Union

- Rules for the Euro are rewritten
- The European banking system has put up ‘firewalls’ against a Eurexit
- ECB given more oversight of NCBs (National Central Banks, which issue sovereign debt and execute fiscal policy for member countries)
- Reserve requirements are heightened
- Lending oversight is increased
- It is now believed that the Euro is more ‘fractureproof’ than before

Summary

- From today be sure to take away:
- Models of currency crisis
- How different currency crises happen, and why
- Reasons why countries want to stabilize currency trading bands
- Policies that jeopardize currency stability
- What a monetary union means
- The pros and cons of monetary union
- How currency crises are different in a monetary union
- Some details of the 2011 EUR crisis

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